Brazilian E-Commerce Analytics

Stage 3 — Insights & Reporting | Olist marketplace dataset

This report translates the SQL analysis into business findings and practical growth priorities. Revenue figures use item prices for delivered orders and exclude freight; they are a sales-spend proxy, not profit or a complete accounting-revenue measure.

1. Findings across the four business questions

Business question	Finding	Business interpretation
1. Which product categories generate the highest revenue?	Health & beauty led with **R$1.23M**, followed by watches & gifts (**R$1.17M**), bed/bath/table (**R$1.02M**), sports/leisure (**R$954.9K**) and computers/accessories (**R$888.7K**).	These categories are major contributors to delivered-item sales. Revenue alone does not show margin, advertising efficiency, or future growth potential.
2. Who are the top 10% of customers by spend, and what share of revenue do they represent?	The top **9,336** eligible unique customers generated **R$5.43M** of **R$13.22M** in spend — **41.10%** of the total.	Spending is concentrated: a relatively small customer segment contributes a large share. Retention and reactivation efforts should protect this value, while avoiding overdependence on a narrow group.
3. How does average order value vary by region?	Paraíba (PB) had the highest average delivered order value at **R$217.77**; São Paulo (SP) had the lowest at **R$125.12**. SP had by far the largest volume, with **40,501** delivered orders.	High average order value and high total volume are different opportunities. Smaller states with high AOV may merit targeted tests, while SP's scale makes even modest AOV improvements potentially meaningful.
4. Which categories have high review scores, and do they align with repeat purchases?	Some categories scored highly but had very few reviewed orders (e.g., children's fashion scored 5.00 across 7 orders). Home appliances had a **7.27%** category repeat-purchase rate (50 of 688 customers). Arts & craftmanship showed 9.52%, but that was only 2 of 21 customers.	Small samples can make rankings unstable. High review scores did not consistently map to higher repeat-purchase rates, so category ratings should be considered alongside sample size, repeat behavior, sales, and margin.

2. Recommended investment priorities

Priority 1 — Health & beauty: defend and deepen a proven revenue base**.** It generated the highest category sales (R$1.23M), but its repeat-purchase rate was about 1.67%. Test replenishment reminders, bundles, and targeted post-purchase offers. Track incremental repeat orders and contribution margin rather than assuming revenue growth equals profitability.

Priority 2 — Home appliances: test repeat-purchase potential. The category's repeat-purchase rate was 7.27% (50 repeat customers among 688), higher than the overall rates shown for many large categories. Run a controlled campaign around complementary products, accessories, or post-purchase engagement. Because repeat purchases may be naturally less frequent for durable goods, compare results with similar categories and an appropriate time window.

Priority 3 — Watches & gifts: improve retention in a high-revenue category. It generated R$1.17M but had a category repeat-purchase rate of about 1.13%. Test occasion-based reminders, gift bundles, and cross-category recommendations. Keep the investment experimental until the platform can show lift in repeat purchases, conversion, and margin.

3. Growth-oriented recommendation

The marketplace should combine category scale with customer retention rather than allocating investment solely to the categories with the highest sales. Begin with small, measurable experiments in health & beauty and watches & gifts to encourage a second purchase, while testing home appliances for complementary-product repeat behavior. In parallel, pilot basket-building offers in selected high-AOV states such as Paraíba, and use São Paulo's large order base to test modest increases in items per order or average basket value. Evaluate every test against a control group where feasible, and report incremental orders, revenue, repeat-purchase rate, conversion, and contribution margin. Scale only initiatives that produce measurable improvement.

4. Important interpretation notes

- Revenue is the sum of item prices for delivered orders and excludes freight; it is not profit.
- Customer concentration uses unique customer identifiers, with spend aggregated across delivered orders.
- Average order value was calculated by summing item prices within each delivered order first, then averaging order totals by customer state.
- Olist reviews are attached to orders rather than individual products. Category-associated review scores can therefore reflect an order's overall experience and may be associated with multiple categories in a multi-category order.
- Very small category samples (for example, 7 reviewed orders or 21 customers) should not be treated as reliable rankings. The repeat-purchase analysis is descriptive and does not establish causation.